

Interpretability in Heterogeneous Treatment Effect Estimation

Part I

Melody Huang

ACIC 2026 Short Course

`melody.huang@yale.edu`

Link: `https://tinyurl.com/acic2026-hte`

Challenges with interpretability

In settings where researchers are dealing with multiple covariates, the CATE becomes challenging to interpret.

- Often in practice, estimates of $\hat{\tau}(X)$ are interpreted as individual-level treatment effects
→ Not correct! τ_i is fundamentally unidentifiable
- While HTE models output a prediction for the CATE, it can be useful to consider coarser representations of a conditional average treatment effect
- Examples of coarsened estimands:
 - Subgroup ATE

$$\mathbb{E}[Y(1) - Y(0) \mid X \in \mathcal{C}(X)]$$

- (Sorted) Group ATE (GATE)

$$\mathbb{E}[Y(1) - Y(0) \mid Q_k(\tau(X)) \leq \hat{\tau}(X) \leq Q_{k+1}(\tau(X))]$$

We will focus primarily on the **subgroup ATE**.

How do we estimate subgroups?

Common approach: a priori specification of covariates, combined with linear regression.

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- Which covariates make sense to include?
- How do we think about interactions across these covariates?

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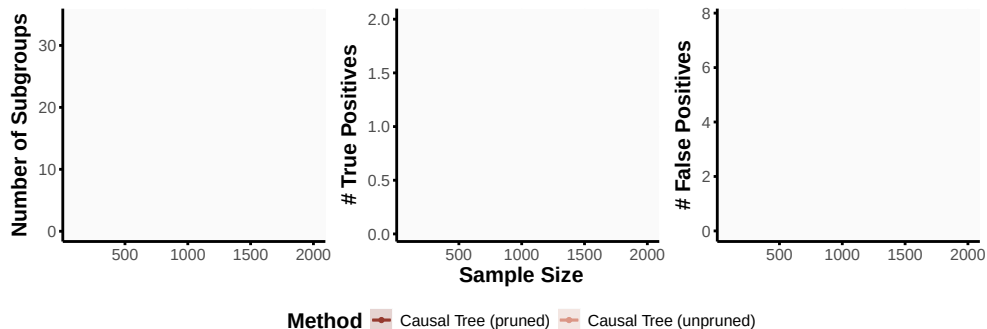
Toy example: Consider a toy DGP, with 2 subgroups.

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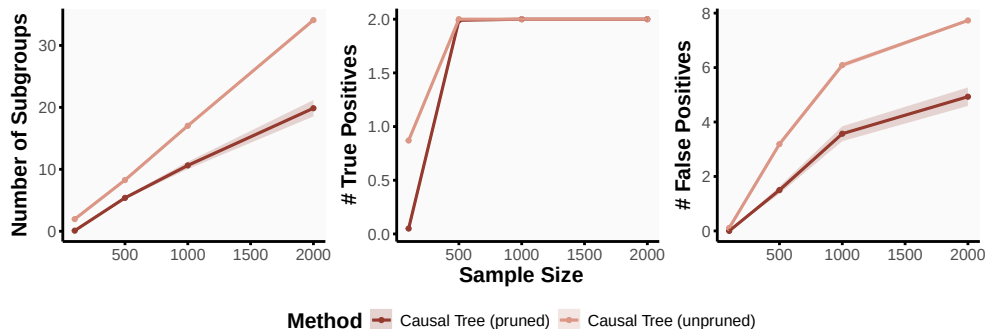


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Goal: stable estimation of interpretable subgroups

Proposal: causal distillation trees to stably recover interpretable subgroups.

- Leverage the notion of knowledge distillation from machine learning to combine the benefits of black-box meta-learners with the interpretability of decision trees
- Unlike alternative two-stage approaches, we derive theoretical guarantees on the consistency of CDT in recovering the optimal subgroups
- To aid in practical usage, we introduce a novel model selection procedure to help researchers determine which meta-learner is most suitable for their setting

Causal Distillation Trees

Formalizing subgroups

We define a **subgroup** as $\mathcal{G}_g : \mathcal{X} \rightarrow \{0, 1\}$ where

$$\mathcal{G}_g(X) = \prod_{k=1}^p \mathbb{1} \left\{ X^{(k)} \in R_k^{(g)} \right\}, \text{ and } R_k^{(g)} \subseteq \text{supp}(X^{(k)}).$$

- Example: $\mathcal{G}_g(X) = \mathbb{1}\{X^{\text{AGE}} \geq 35\} \cdot \mathbb{1}\{X^{\text{College}} = 1\}$
- $\{\mathcal{G}_1(X_i), \dots, \mathcal{G}_G(X_i)\}$ is a **discrete partition**.

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Define $\tau^{(g)}$ as the **average treatment effect for a subgroup** $\mathcal{G}_g(X)$:

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Causal distillation trees: An overview

Step 1: Estimate the first stage learner (the **teacher model**), to predict the conditional average treatment effect (i.e., $\hat{\tau}(X)$).

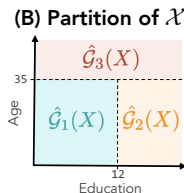
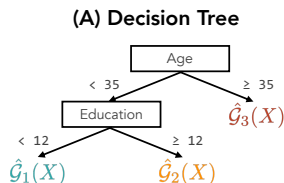
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- We can think of this as a projection step of τ_i into the space of X_i .

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Step 2: **Distill** the predicted $\hat{\tau}(X)$'s through a **decision tree** using the covariates X



(C) Subgroup Rules

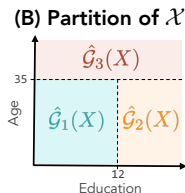
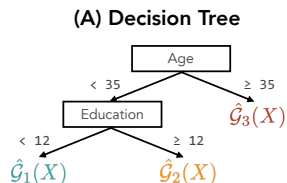
$$\begin{aligned}\hat{G}_1(X) &= \mathbb{1}\{\text{Age} < 35\} \cdot \mathbb{1}\{\text{Education} < 12\} \\ \hat{G}_2(X) &= \mathbb{1}\{\text{Age} < 35\} \cdot \mathbb{1}\{\text{Education} \geq 12\} \\ \hat{G}_3(X) &= \mathbb{1}\{\text{Age} \geq 35\}\end{aligned}$$

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Step 3: With $\hat{G}(X)$, estimate the subgroup average treatment effect.

The role of sample splitting

To provide an honest estimate of the subgroup average treatment effect, we randomly split the data into a training and a hold-out estimation set (Athey and Imbens, 2016)

- The training set will be used to estimate the subgroups
 - To avoid overfitting to the teacher model, we estimate the $\hat{\tau}(X)$'s using out-of-sample procedures (e.g., out-of-bag samples in causal forest, or repeated cross fitting)
- Hold-out set reserved to estimate the subgroup average treatment effects.
- Allows us to employ standard approaches used in causal inference to estimate $\tau^{(g)}$

Recovering an optimal partitioning

Does CDT work? $\rightsquigarrow$ We want to know if CDT allows us to recover the **optimal** subgroups.

More formally, we define **optimal subgroups** as the set of subgroups $\mathcal{G}(X)$ such that

$$\{\mathcal{G}_g(X)\}_{g=1}^G = \underset{\{\mathcal{G}'_g(X)\}_{g \in \Omega}}{\operatorname{argmin}} \mathbb{E} \left[\left\{ \tau(X_i) - \sum_g \mathcal{G}'_g(X_i) \cdot \tau^{(g)} \right\}^2 \right],$$

where Ω denotes the space of partitions with fixed cardinality G of the covariate space.

- The optimal subgroups maximize treatment effect heterogeneity across groups
- Results can be generalized for alternative losses

CDT will consistently recover the optimal set of subgroups.

Assume consistency of the teacher model and separability. For all groups $g \in \{1, \dots, G\}$:

$$\mathbb{E} \left(\left| \hat{\mathcal{G}}_g(X_i) - \mathcal{G}_g(X_i) \right| \right) \leq \underbrace{\frac{2r_g(C_\tau + M\delta)}{\delta} \left| \hat{s}_n^{(k)} - s^{(k)} \right|}_{\text{Gap between estimated and optimal split}} + \underbrace{\frac{2r_g}{\delta} \left\{ \mathbb{E}_n \left[\ell(\hat{\tau}(X_i); X^{(k)}, s^{(k)}) \right] - \mathbb{E} \left[\ell(\hat{\tau}(X_i); X^{(k)}, s^{(k)}) \right] \right\}}_{\text{Gap between empirical and population-level loss}},$$

where r_g is the number of rules in the g^{th} subgroup, M is a finite positive constant, and δ corresponds to the constant in the separability condition.

- Immediate implication: $\hat{\mathcal{G}}_g(X_i) \xrightarrow{p} \mathcal{G}_g(X_i)$
- How quickly $\hat{\mathcal{G}}_g(X_i)$ converges to $\mathcal{G}_g(X_i)$ depends on **how much reduction in noise we get from distilling**

Improvements in stability from distillation

CDT allows researchers to more stably recover subgroups.

- The first-stage learner serves as a de-noising step for the observed data
- We construct a 'smooth' version of τ_i , which the decision tree is then estimated on

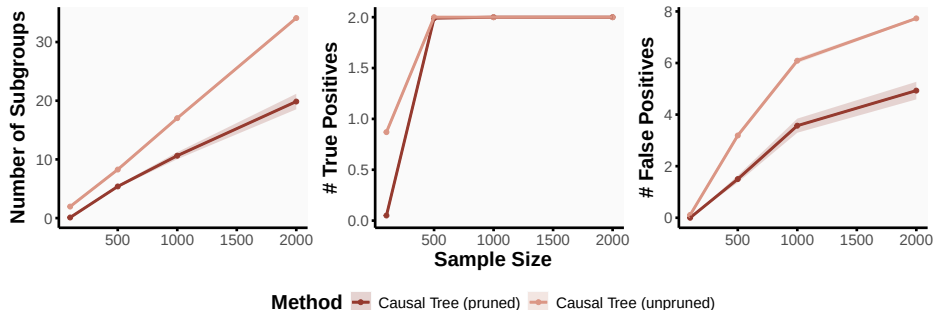
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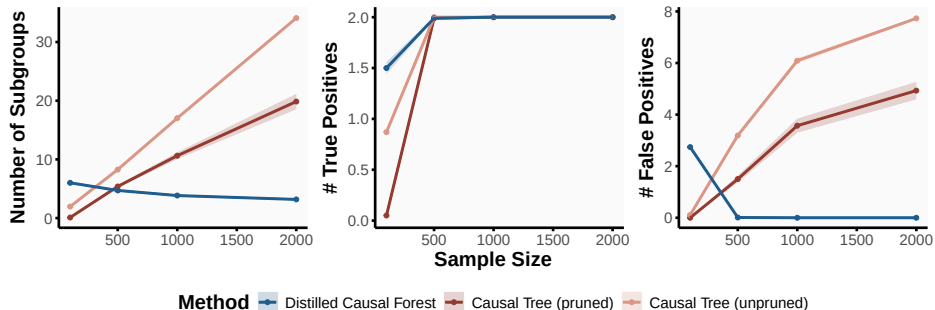


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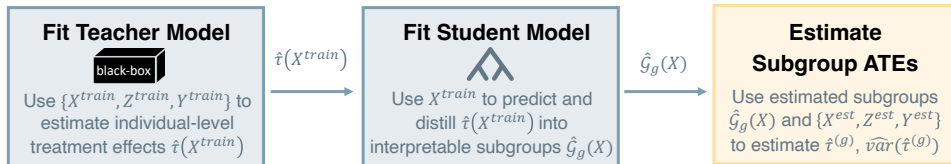
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Summary

CDT offers a simple and flexible approach to estimating subgroups.



- Can accommodate federated learning, as well as settings in which we want to fit a student model with fewer covariates
- Distillation **offsets instabilities** in standard tree algorithms (like causal tree), while preserving interpretable output
- Sample splitting allows for straightforward inference on subgroup ATE

Choosing a teacher model

A stability-driven approach for teacher model selection

The benefits of distillation arise from the teacher model's ability to construct a **meaningful representation of the conditional average treatment effect**.

- In practice, there are different meta learners researchers must choose from to estimate the individual-level treatment effect.
- **How should researchers choose amongst a set of candidate teacher models?**

A stability-driven approach for teacher model selection

The benefits of distillation arise from the teacher model's ability to construct a meaningful representation of the conditional average treatment effect.

- In practice, there are different meta learners researchers must choose from to estimate the individual-level treatment effect.
- How should researchers choose amongst a set of candidate teacher models?

We propose a model selection procedure tailored specifically for subgroup selection.

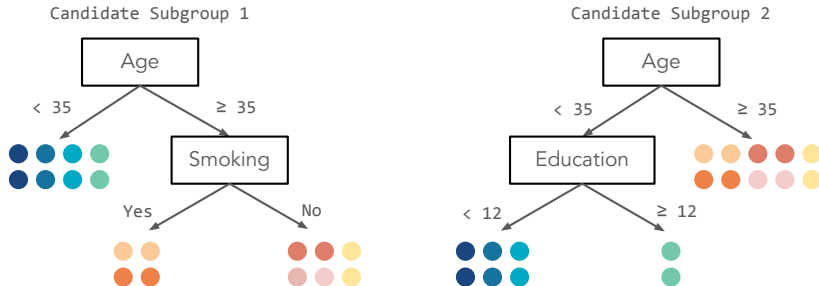
- Prioritize teacher models that result in **stable subgroup reconstruction**
→ Informally, this means being able to estimate similar subgroups, given perturbations in the underlying data generating process
- Teacher models that are able to **construct similar subgroups** across perturbations are considered more appropriate models for the data (Yu, 2013; Yu and Kumbier, 2020; Rothenhäusler and Bühlmann, 2023)

Quantifying how similar subgroups are

Let $\hat{\mathcal{G}}^{(1)}$ and $\hat{\mathcal{G}}^{(2)}$ denote the two candidate sets of subgroups.

- Goal: we want to know how **similar** $\hat{\mathcal{G}}^{(1)}$ and $\hat{\mathcal{G}}^{(2)}$ are

Example:

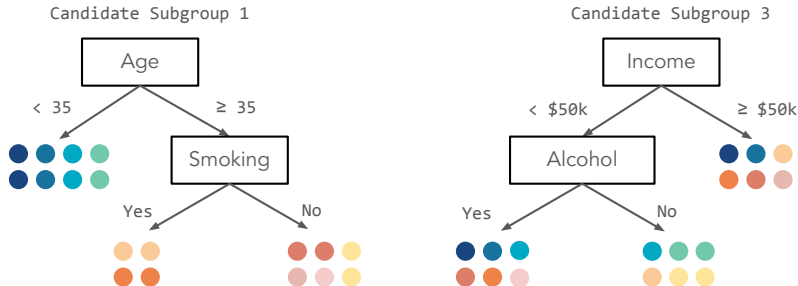


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Example:



Subgroup Similarity Index (SSI)

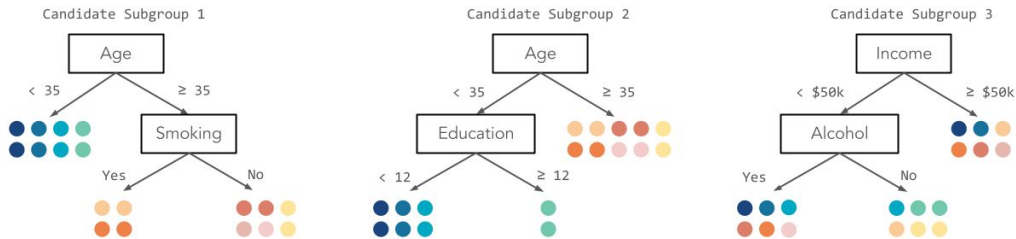
We propose a **Jaccard Subgroup Similarity Index (SSI)**:

$$\text{SSI}(\hat{\mathcal{G}}^{(1)}, \hat{\mathcal{G}}^{(2)}) = \frac{1}{2G} \sum_{g \in \hat{\mathcal{G}}^{(1)} \cup \hat{\mathcal{G}}^{(2)}} \frac{\overbrace{N_{11}(g)}^{\text{\# of sample pairs in same subgroup in both partitions}}}{\underbrace{N_{01}(g) + N_{10}(g) + N_{11}(g)}_{\substack{\text{\# of sample pairs in same subgroup in } \hat{\mathcal{G}}^{(j)} \\ \text{but different in } \hat{\mathcal{G}}^{(k)}}}},$$

- SSI is bounded between 0 and 1
- $\text{SSI} \rightarrow 1$ implies the two sets of subgroups are similar.
 $\rightarrow$ Intuitively, will occur when $N_{11}(g)$ is much larger than $N_{01}(g) + N_{10}(g)$.
- In contrast, if two subgroups are highly dissimilar, then we would expect $N_{11}(g)$ to be much smaller than $N_{01}(g) + N_{10}(g) \rightarrow$ low similarity index ($\text{SSI} \approx 0$).

Quantifying how similar subgroups are

We can compute SSI for these three candidate subgroups:



- $SSI(\hat{\mathcal{G}}^{(1)}(X_i), \hat{\mathcal{G}}^{(2)}(X_i)) = 0.41$
- $SSI(\hat{\mathcal{G}}^{(1)}(X_i), \hat{\mathcal{G}}^{(3)}(X_i)) = 0.17$

Using SSI to select a teacher model

Consider a set of candidate teacher models $\{\hat{f}^1, \dots, \hat{f}^L\}$.

- Generate $\hat{\tau}_i^d(l)$.
- For repeated bootstrap samples $b = 1, \dots, 2B$:
 - Fit the second stage decision tree across the b and $b + 1$ -th samples ($\hat{f}_{student}^{(b)}$, $\hat{f}_{student}^{(b+1)}$) obtaining $\hat{\mathcal{G}}^{(b)}$ and $\hat{\mathcal{G}}^{(b+1)}$
 - Compute the Jaccard SSI: $\mathcal{J}_l^{(b)} = \text{SSI}(\hat{\mathcal{G}}^{(b)}, \hat{\mathcal{G}}^{(b+1)})$.

Averaging across all the bootstrap samples, choose the teacher model f^{l^*} that maximizes the Jaccard SSI:

$$l^* = \operatorname{argmax}_{l=1, \dots, L} \frac{1}{B} \sum_{b=1}^B \mathcal{J}_b^l$$

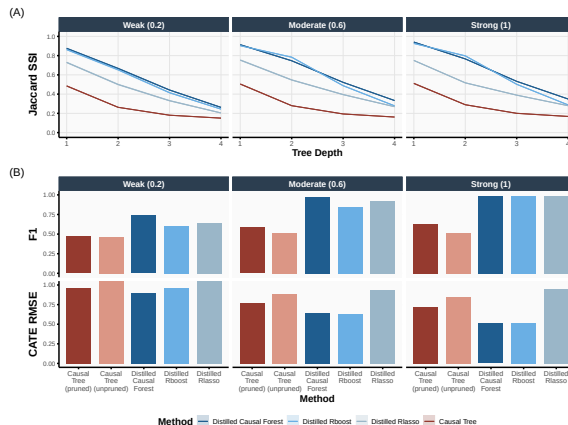
Illustration on simulated data

We compare SSI for (1) Causal Forest, (2) Rboost, and (3) Rlasso.

We benchmark to the stability of subgroups chosen by Causal Tree.

Key observations:

- Higher SSI corresponds to higher F1 score
→ Better accuracy in subgroup recovery
- Teacher models with higher SSI also have lower RMSE.



Empirical Application: AIDS Clinical Trial

Context

We consider the AIDS Clinical Trials Group Study 175 (ACTG 175) (Hammer et al., 1996).

- Randomized controlled trial where HIV-1 patients were assigned to either monotherapy (zidovudine alone) or combination therapy (zidovudine and zalcitabine)
- Primary end point defined as:
 - A 50% or more decline in the CD4 cell count
 - The development of AIDS
 - Death

	Est. Average Treatment Effect (DiM)
Impact of Combination Therapy	0.13 (0.027)
Treated Units: 524, Control Units: 532	

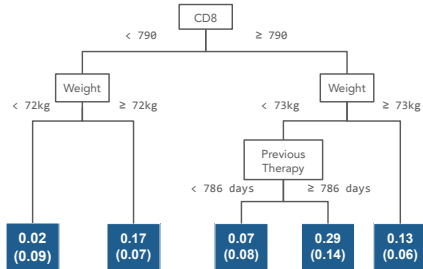
Result: Combination therapy shown to [slow the progression of HIV-1](#).

→ Are there subgroups of the population that the treatment could be more effective for?

Subgroup analysis for AIDS Clinical Trials Group Study 175

Individuals with a combination of **high CD8 counts** (a healthy range is between 150-1000/mm³), **starting weight**, and **little to no experience with anti-retroviral therapy**.

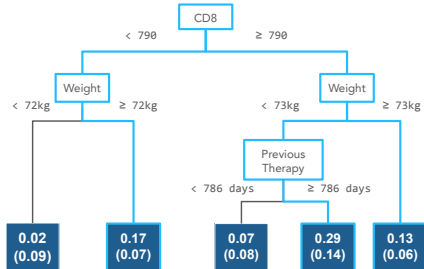
- In general, those with higher CD8 counts strongly benefited regardless of weight or previous therapy.
- These benefits decrease especially as starting weight decreases.
- Treatments were later found to cause fat redistribution and fat loss that was harmful to patients



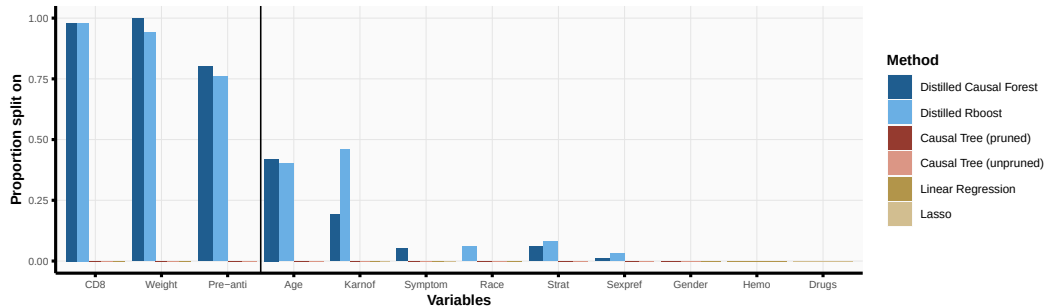
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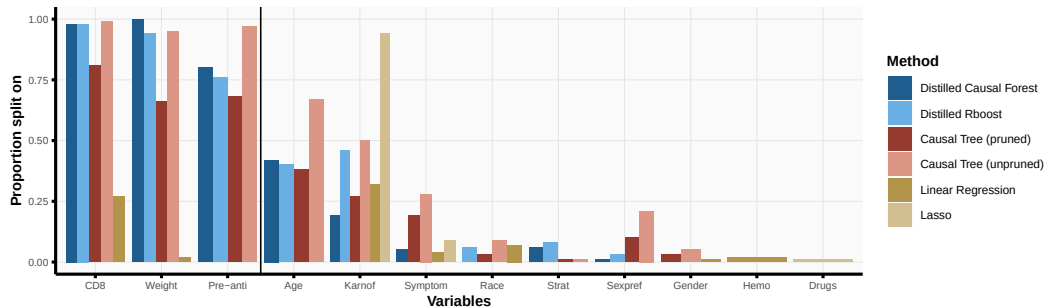


Stable and clinically relevant splits



- CD8 cell counts, weight, and previous experience with anti-retroviral therapy are all consistently selected across methods.
- However, competing approaches also tend to split on additional factors randomly.
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- These do not all appear to be relevant!

Conclusion

We proposed **causal distillation trees**, which allows researchers to stably and consistently recover substantively meaningful subgroups.

- CDT allows researchers to integrate any metalearner of their choice and provides a simple, decision tree as an output
- The teacher model acts as a de-noising step which helps correct for instabilities in standard decision tree approaches
- Novel measure to perform teacher model selection

Next up...

- So far, we've discussed using a **tree** to distill information about $\hat{\tau}(X) \rightarrow$ What about alternative approaches?
- Variable importance and diagnostics?

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